
An Organizational Information-Processing Profile of First Movers

Martin J. Gannon

Ken G. Smith

Curtis Grimm

University of Maryland

The present study examines a set of organizational predictors of first moves. More specifically, the study employed organizational information-processing theory to derive a set of hypotheses relating organizational characteristics to the level of first-mover activity. This archival study used a pooled cross section-time series data set of domestic airlines over an 8-year period.

The results in a Tobit analysis indicate that the level of first-mover activity increases positively as boundary spanning and years of education of the top management team increase; and it declines as formalization and years of industry-specific experience of the top management team rise. These and other results are discussed from the perspective of building competitive advantage.

Introduction

The first-mover advantage has attracted a great amount of attention, both among practitioners and researchers, and many research efforts have focused on it. Lieberman and Montgomery (1988), in their review of the literature on the first-mover advantage, argue that first-mover advantages arise from three primary sources: 1) technological leadership; 2) preemption of assets; and 3) buyer switching costs (see also Day, 1988). Alfred Chandler (1977), in his historical analysis of the rise of American industry, demonstrates that in industry after industry the first firm—and sometimes the first two firms—to establish market dominance were able to maintain it over many generations, for example, Sears and Montgomery Ward's in retailing and U.S. Steel and Bethlehem Steel. These firms were able to construct imposing technological and cost barriers that seriously impeded the activities of late entrants. While some of Chandler's firms were not the first to enter their respective industries, many empirical studies have confirmed the advantages associated with being a first mover (Bond and Lean, 1984; Carpenter and Nakamoto, 1986; Urban et al., 1986;

Address correspondence to: Professor Martin J. Gannon, College of Business and Management, University of Maryland, College Park, MD 20742.